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CFO PLAYBOOK

EU-WIDE · VAT IN THE DIGITAL AGE (ViDA)

The Full ViDA Picture: A Strategic Opportunity for EU Finance Leaders

What CFOs and Tax heads across the EU need to look beyond the format change, and where the real exposure lies.

ViDA Explained: What Every Finance Leader Needs to Know

The EU's biggest VAT reform in three decades is already in force. Here is what it actually means for organisations operating across the Union.

On 11 March 2025 the Council of the European Union adopted the VAT in the Digital Age (ViDA) package. It entered into force on 14 April 2025 and will roll out progressively until January 2035. This is not a routine update. It is the most comprehensive restructuring of the EU VAT system since the Single Market was introduced in 1993.

For most of the past 30 years, VAT compliance across the EU ran on one basic model: businesses self declared their VAT positions, tax authorities reviewed after the fact, and errors were caught, if at all, months or years later. ViDA breaks that model. The new regime is real time: invoices are issued in structured digital form, transaction data reaches tax authorities near instantly, and errors become visible the moment they occur. Compliance moves from periodic to continuous.

The Three Pillars: What Changes and When

PILLAR 1

Digital Reporting Requirements (DRR) & mandatory e-invoicing

From 1 July 2030, structured e-invoicing (to the European standard EN 16931) and near real-time digital reporting become mandatory for all intra-EU B2B supplies. Invoices must be issued within 10 days of the chargeable event, and EC Sales Lists are abolished. Member States may already mandate domestic B2B e-invoicing without prior EU approval, and buyer consent is no longer required.

PILLAR 2

Single VAT Registration (SVR) & OSS expansion

From 1 July 2028 the One Stop Shop is broadened to cover more supplies, including certain domestic B2C transactions, with a mandatory reverse charge where the supplier is not established or identified in the Member State of taxation. A business registered in several countries may consolidate much of its cross-border compliance into a single registration. The overlooked trade-off: input VAT recovery then routes through a different mechanism, creating cash flow timing differences.

PILLAR 3

Platform economy & the deemed supplier rule

Platforms facilitating short-term accommodation and passenger transport by road become deemed suppliers, responsible for collecting and remitting VAT on behalf of underlying providers. Mandatory EU-wide from 1 July 2028. Member States may unilaterally postpone application to no later than 1 January 2030.

The ViDA Timeline: Key EU Dates

DATE	WHAT HAPPENS
Apr 2025	ViDA enters into force. Member States may mandate domestic e-invoicing (established taxpayers) without EU derogation; buyer consent is no longer required.
Jan 2027	Legal clarifications to OSS and IOSS take effect. OSS extended to supplies of gas, electricity, heating and cooling. First national transpositions begin.
Jul 2028	Single VAT Registration reforms and wider OSS begin. Mandatory reverse charge for non-established suppliers. Platform deemed supplier rule enters into force; Member States may defer national application to no later than 1 January 2030. No new call-off stock arrangements after 30 Jun 2028.
Jan 2030	Platform economy deemed supplier rule must be in force in all Member States, including those that exercised the postponement option from July 2028.
Jul 2030	Mandatory structured e-invoicing (EN 16931) and DRR for all intra-EU B2B supplies. Issuance within 10 days; near real-time transmission. EC Sales Lists abolished.
Jan 2035	National e-invoicing systems in place before 2024 (for example Italy's SdI) must be harmonised with EU ViDA standards.

What Makes ViDA Different

Every major VAT reform in recent decades asked businesses to change templates, update codes, or adjust filing timelines. ViDA asks for something categorically different: it changes the operating model of tax compliance itself.

PREVIOUS VAT REFORMS REQUIRED	ViDA REQUIRES
Updated templates and form changes	Structural ERP reconfiguration
Adjusted return timelines	Real-time data transmission capability
New VAT codes or rates	Invoice-level accuracy at point of issuance
Changes to manual process steps	Cross-functional integration of IT, tax and finance

The critical insight for CFOs:
Under the old model a VAT error could be corrected in the next return. Under ViDA, an error in a structured e-invoice transmitted to the authority creates an immediate, documented discrepancy. The audit window is not months away, it is built into the transmission itself.

What the Numbers Tell Us

The European Commission's own analysis provides the context. The EU VAT gap, the difference between VAT expected and VAT collected, has run into the tens of billions of euros a year (around €89 billion for 2022, and close to €93 billion for 2020 on earlier estimates). The Commission projects that ViDA's digital reporting infrastructure could help recover up to €18 billion per year once fully operational. Tax authorities across the EU will hold far more transaction-level visibility than ever before, and structured, near real-time invoice data will transform how audits are conducted.

ViDA's Hidden Impact: What Finance Teams Are Not Preparing For

Most organisations are focused on the format change. The real risk is what the format change reveals. Five dimensions of exposure are consistently underestimated.

1. **Master data quality becomes a compliance liability**
Structured e-invoices are unforgiving. They require precise, validated data at transmission: VAT identification numbers, IBAN details, payment due dates, correct tax classifications, invoice-sequence integrity, and buyer and seller data that matches authority records. Data scattered across multiple ERP instances and legacy systems, tolerable under self-declared returns, becomes legally material when structured data is transmitted in near real time. A master data audit is not IT housekeeping. It is a prerequisite for ViDA readiness.

2. **The cash flow impact of OSS is undermodelled**
Single VAT Registration is genuinely valuable for multi-country operators. But when a business uses OSS for its cross-border obligations, input VAT incurred in the country of supply does not flow through OSS automatically — it must be recovered via the EU refund procedure under Council Directive 2008/9/EC, which typically takes 6 to 9 months, against the immediate netting of a domestic return. A group that today nets, say, several million euros of foreign input VAT each quarter could see the equivalent tied up in the refund pipeline. OSS should be modelled as a treasury and working-capital decision, not only a compliance simplification.

3. **Invoice accuracy becomes a substantive condition for VAT deduction**
Under the framework taking effect with the 2030 DRR mandate, holding a compliant structured e-invoice becomes a substantive condition for deduction, not merely a formal one. If a supplier issues an invoice that fails ViDA's technical validation, the input VAT is at risk and cannot simply be corrected later by a credit note. Accounts payable must validate incoming e-invoices for technical compliance at the point of receipt, not just process them through the usual workflow. Organisations that have not upgraded AP are creating latent deduction risk across the entire purchase ledger.

4. **The European landscape is fragmented, not harmonised**
ViDA was designed to harmonise EU e-invoicing. The reality, until at least 2035, is fragmentation — domestic mandates already run at different speeds, on different formats and protocols, with different deadlines. See the country-by-country status on the next page.

COUNTRY	STATUS (2026)
Italy	SdI live since 2019. Ministry of Finance opened a consultation on 23 June 2026 on a draft decree transposing the ViDA provisions applying from 2027. Existing SdI must align with EU standards by 2035.
Germany	Receiving mandate live since Jan 2025. Domestic issuance mandate phases in from 2027 (large enterprises with prior-year turnover above 800,000 euros) and 2028 (all B2B), using XRechnung or ZUGFeRD as the compliant formats. No transmission channel is mandated; invoices may be delivered via email, EDI, direct connection or Peppol.
Poland	KSeF mandatory for large enterprises from Feb 2026 and for all VAT taxpayers from Apr 2026.
France	Reception mandate for all VAT-registered businesses from 1 September 2026. Issuance mandate for large enterprises and mid-size businesses (ETI) from 1 September 2026; for SMEs and micro-businesses from 1 September 2027. The public government portal (PPF) has been cancelled; all businesses must select a registered private platform (Plateforme Agréée).
Belgium	Domestic B2B mandate live in 2026; preliminary transposition law approved for the 2027 OSS and platform rules.
Spain	Consultation on partial ViDA transposition underway (late 2025).

For any business trading across several Member States, this is not one ViDA project. It is a portfolio of national mandates running in parallel, each with distinct technical requirements, that will only converge to a common standard by 2035. Assuming one country's implementation covers cross-border exposure is a high-risk error. It does not.

5 **The audit profile of your business changes permanently**
Authorities today audit on a sampling and risk basis, working from aggregate data. Under full DRR they receive transaction-level data on every cross-border B2B invoice in near real time, with algorithmic matching against counterparties' reported data. ViDA also introduces a pan-EU Central VIES database consolidating this reporting: carousel fraud becomes far harder to conceal, but legitimate errors become far more visible too. Tax risk shifts from a periodic governance exercise to a continuous operational control, with clear ownership of invoice-level accuracy and a defined escalation path when a transmission fails.

Why an ERP Compliance Tool Alone Might Not Be Enough

The most common response from ERP-based organisations, including those on SAP Document and Reporting Compliance (DRC), is: "we have the platform, we are covered." The tool is capable, but implementing it is not the same as being ViDA-ready.

What such tools do well:

Generate compliant structured formats from ERP data, transmit to national systems and government portals, track document status, and cover many countries in one platform.

Where the structural limits lie:

- They transmit what the ERP contains, they do not validate what it should contain. An incorrect VAT number is sent in a technically valid format, passes format checks, and fails authority validation.
- Multi-country coverage still needs country-specific configuration and ongoing regulatory expertise; one country's set-up does not simply extend to the next.
- Most implementations are built around outbound invoicing; inbound validation, now tied to the right to deduct, is often not configured.
- A tool is not a tax position. If tax determination is misconfigured, the wrong rate or supply type is amplified across every transaction and made instantly visible to authorities.

> **The strategic framing:**
> The platform is necessary but not sufficient. The protected organisations use the implementation as the catalyst for a broader programme: fixing master data, validating tax positions, restructuring AP controls, and building governance for continuous compliance. The question for the next leadership meeting is not "is it implemented?" It is "what is it transmitting, and is it correct?"

A Practical Self-Assessment for Finance Leaders

Rate your organisation against these dimensions. If any sit in the right-hand column, the risk is real and the window to address it is shortening.

DIMENSION	GREEN IF	RED FLAG IF
E-invoice receiving	All VAT-registered entities can receive structured e-invoices today	Still processing PDF or paper invoices manually, without structured validation
Master data quality	Customer and supplier VAT IDs validated within 12 months; IBAN fields populated	Last validated during an ERP migration four or more years ago
ERP roadmap	Confirmed upgrade or cloud path with a timeline through 2030	Legacy environment with no confirmed migration plan
Tax determination	Configuration reviewed by a qualified indirect tax specialist within 18 months	Tax codes last touched by IT during a system upgrade
Multi-country programme	Separate, resourced workstreams for each Member State with an active mandate	One domestic project assumed to cover cross-border exposure
Treasury and OSS	Cash flow impact of OSS versus local registration modelled and approved by the CFO	OSS treated as a cost-reduction initiative only; cash flow not modelled

How ClearTax Can Help: ViDA Readiness for Finance Leaders

ClearTax is a global tax technology platform that processes over one billion e-invoices annually across 50 or more countries, including live mandates in Germany, Belgium, Poland, Italy, Saudi Arabia, India and Malaysia. We are a registered Peppol Access Point, and our clients include more than 5,000 enterprises worldwide.

Proven in the EU, ahead of the mandate. Our clients are already live on Peppol e-invoicing in Belgium, well ahead of the 2026 national deadline and the 2030 ViDA DRR obligation. These implementations span the full range of ViDA-relevant complexity: a global sportswear and apparel enterprise running dual-channel compliance across independent retail and e-commerce ERPs, and a leading hospitality and property management group operating bi-directional AR and AP flows across multiple systems (RMS, Oracle ERP and a document management layer). In both cases, ClearTax delivered JSON/ERP-to-UBL transformation to full BIS 3.0 compliance, unified data mapping across fragmented systems, and automated transmission with zero manual intervention.

The point for a CFO is not that Peppol works. It is that the hard parts of ViDA — reconciling fragmented ERPs, mapping messy source data to a strict schema, and validating before transmission rather than after — are exactly what these projects had to solve, on a live regulatory deadline, and did.

Deploy once, stay compliant through 2030

One integration covers 2027 OSS changes, 2028 to 2030 domestic mandates and ViDA DRR. New mandates activate by configuration, not by a fresh IT project.

Faster go-live, minimal ongoing IT effort

AI-driven integration cuts set-up from months to weeks. After go-live, regulatory changes update on our side; your ERP connector does not need to change.

Validation before transmission

Deep validation catches errors before they transmit and failed invoices auto-resolve, so a compliance gap is not discovered through an authority notice.

ViDA is the infrastructure on which future EU tax administration will run.

Organisations that treat it as a compliance project will survive it. Those that treat it as a strategic transformation will benefit from it: cleaner data, lower audit risk, streamlined cross-border VAT, and a finance function built for the digital decade ahead. The organisations that move now will not be scrambling in 2027. That is the only difference.

If the gaps described here concern you, about your data, your ERP configuration, your cross-border exposure or your ViDA timeline

Talk to our experts →